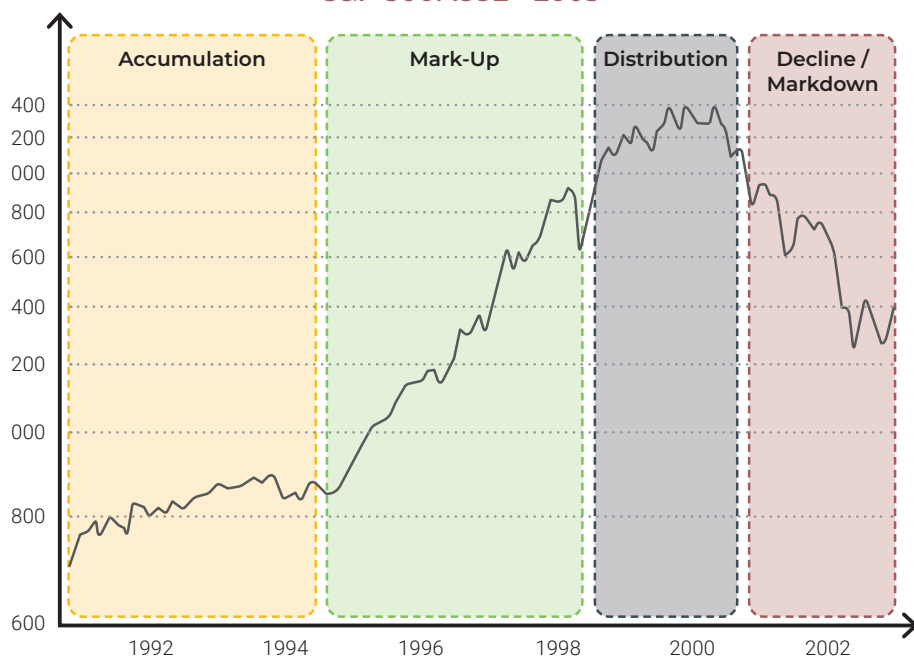


S&P 500: 1992 - 2003



Accumulation



The accumulation phase begins when the market is just around the bottom, there is a significant decline and the market is relatively under-priced.

Here, smart money begins to enter the market.

- During this phase, the institutional and trained professional investors begin purchasing the shares and acquire ownership in various companies.
 - The market at this point is driven by low valuation.
- Stocks with attractive prices and high quality are bought whereas low-quality stocks do not gain popularity.

Therefore, accumulation refers to the smart money that begins to accumulate ownership of various stocks. For nomenclature, we generally use and follow what smart money does.